

These figures establish the fact that, although both bonds and preferred stocks have shown themselves vulnerable to adverse conditions, there can be no doubt that preferred stocks as a whole are subject to the greater percentage decline. Certainly a contrast exists between the theoretical weakness plus the unsatisfactory performance of preferred stocks, on the one hand, and their widespread popular acceptance, on the other. A thoroughgoing analysis would seem to be called for, in order to determine the true merits of preferred shares as a practical medium of investment.

Basic Difference Between Preferred Stocks and Bonds. The essential difference between preferred stocks and bonds is that payment of preferred dividends is entirely discretionary with the directors, whereas payment of bond interest is compulsory. Preferred dividends must indeed be paid as long as any disbursements are being made on the common shares; but since directors have the power to suspend common dividends at any time the preferred stockholder's right to income is at bottom an entirely contingent one. However, if a company's earnings are regularly far in excess of preferred-dividend requirements, payment is usually made as a matter of course; and in such instances, the absence of an enforceable claim to dividends does not seem to be of real importance. This explains the existence of a relatively small number of high-grade preferred issues which are considered equivalent in quality to sound bonds and sell at comparable prices.

At the opposite extreme are the cases in which corporations are *unable to pay anything*, whether it be on bonds or on preferred stock. In such situations the bondholder's legal right to receive interest results not in payment but in bankruptcy. As we have previously pointed out, the practical value of this remedy is doubtful, and in most instances it may fairly be said that the position of a bond in default is little better than that of a nondividend-paying preferred stock without bonds ahead of it.

At both extremes therefore, the contractual superiority of bonds over preferred stocks is not of substantial value. This fact has led many investors to believe that *as a general rule* the bond form has no real advantage over the preferred stock form. Their line of reasoning runs: "If the company is good, its preferred stock is as good as a bond; and if the company is bad, its bonds are as bad as a preferred stock."